

What BCG and McKinsey tell us about navigating change — and what they still leave unexplained

Imagine a military convoy moving through unfamiliar terrain. The commander has a destination, the force has been briefed and a map provides an apparently reasonable route. Yet everyone who has operated in uncertain terrain knows that the map is not the territory. Before the main force commits itself, a reconnaissance Land Rover moves ahead to establish what is actually there. Its role is to observe the terrain, identify obstacles and opportunities, test assumptions and bring information back to those who must decide how the force should move.

There is a useful parallel with organizational transformation. Organizations also operate with maps: strategies, business cases, transformation roadmaps, operating models and implementation plans. But these maps are necessarily incomplete. Once the organization begins to move, it encounters a terrain populated not by static obstacles but by people who interpret what is happening, assess the risks and opportunities, make judgments about what should be done and then act accordingly. The terrain changes as they move through it.

This is what makes the recent thinking from Boston Consulting Group and McKinsey particularly interesting. Both firms are moving beyond the traditional conception of change as something that can be designed, communicated and implemented through sufficiently disciplined programme management. Increasingly, their work recognizes that transformation depends upon the human and organizational processes through which change is interpreted, experienced and translated into behaviour.

BCG's *How Change Really Works* provides perhaps the clearest recent example. Its seven principles focus on achieving true agreement rather than false alignment, increasing agency rather than merely involving people, earning take-up rather than assuming adoption, understanding emotions through feedback, establishing rituals, using stories and symbols, and deliberately creating momentum. The underlying message is that transformation depends on what happens to people as they encounter change: how they understand it, how they experience it and whether they ultimately choose to act differently.

McKinsey's recent thinking is moving in a related direction, although with a somewhat different emphasis. Its work on continuous transformation and organizational capacity for change recognizes that organizations

increasingly need to develop the ability to adapt continuously rather than treating transformation as a sequence of discrete programmes. Its research into why transformations stall similarly highlights behaviours such as protecting one's own territory, avoiding risk, relying on familiar relationships and waiting for others to move. What makes this particularly interesting is the recognition that these behaviours may be individually rational even when they become collectively dysfunctional.

Together, these developments represent a significant evolution in change thinking. The question is no longer simply how to design and implement change. Increasingly, it is about understanding the human processes through which change becomes possible. Yet both perspectives also lead us towards a deeper question: **when people are looking at the same organizational terrain, why do they see different things?**

That is where my research begins.

The reconnaissance problem

The reconnaissance Land Rover offers a useful way of thinking about this problem because its occupants are not simply travelling towards a destination. They are trying to establish what the terrain actually looks like from where they are standing. They may have a map, intelligence reports and instructions from headquarters, but none of these eliminates uncertainty. They still have to interpret what they encounter and determine what information is important enough to influence the next decision.

Executives face a similar problem during transformation. They rarely have complete information, and they are often making decisions while the situation itself is changing. They have to interpret market conditions, organizational politics, stakeholder expectations, technological developments and the responses of other people, often before it is possible to know with confidence which interpretation will prove correct.

The important point is that executives do not simply receive this information. They **evaluate** it.

The same strategic transformation can therefore look quite different depending on who is looking at it. One executive may see an opportunity to reposition the organization; another may see a threat to an established capability. One may conclude that the organization has no alternative but to move quickly, while another may believe that moving too quickly creates unnecessary risk. One may feel a strong obligation to champion the transformation, while another may feel an equally strong obligation to protect the people and capabilities that could be damaged by it.

They may be looking at the same terrain, but they are not necessarily seeing the same terrain.

This is where BCG's work becomes particularly useful.

BCG gives us the fieldcraft for human change

BCG's first principle, **true agreement rather than false alignment**, recognizes that leadership teams can appear aligned while holding very different interpretations of what is actually happening. In the military metaphor, this is the difference between everyone agreeing that the convoy must reach its destination and everyone having the same understanding of the conditions on the ground.

The distinction is important because apparent agreement can conceal very different assumptions about the route. One leader may believe the organization needs radical reinvention, while another believes the existing

strategy simply needs better execution. They may approve the same transformation programme, but the judgments informing their support are fundamentally different. When difficulties arise, those differences inevitably begin to surface.

The second principle, **agency rather than mere involvement**, takes us further. A reconnaissance team does not simply collect information; it has to exercise judgment about what it sees and believe that its observations can influence what the main force does next. Similarly, people can be heavily involved in a transformation without actually experiencing agency. They may attend workshops, complete surveys and participate in consultations while having very little influence over the decisions that follow.

This distinction matters because agency is not simply a matter of formal authority. Two executives can have similar positions and similar decision rights while experiencing very different possibilities for action. One sees room to manoeuvre, whereas another sees constraints. One believes that intervention could alter the outcome, while another believes that the important decisions have already been made elsewhere.

BCG's third principle, **earned take-up**, makes a related point. People do not automatically adopt a new direction simply because the strategy has been explained to them. They need the capability, resources, permission and motivation to act, and they need to see sufficient reason to accept what the change requires of them. What is sometimes described as "resistance" may therefore be telling leaders something important about the terrain from the perspective of the person being asked to move.

The fourth principle, concerning **emotions and feedback**, reinforces this point. The people sitting at headquarters may feel confident about the mission because they understand the strategic rationale and have had time to prepare for it. The people encountering the terrain further forward may experience something very different. BCG's concept of "change distance" captures precisely this phenomenon: leaders and employees can experience the same transformation through very different emotional and evaluative lenses.

The remaining principles—rituals, stories and symbols, and momentum—deal with how organizations sustain movement once transformation is underway. They recognize that people need routines that create stability amid uncertainty, stories that make the journey meaningful and visible evidence that their effort is producing progress.

Taken together, BCG provides something like the **fieldcraft of human change**. It tells leaders how to create conditions in which people are more likely to understand, accept and sustain transformation.

But there is a question underneath that fieldcraft.

What determines what the reconnaissance team actually sees?

The same terrain can produce different judgments

Imagine two reconnaissance officers travelling in the same Land Rover, looking through the same binoculars and working from the same map. One identifies a possible route through a valley and considers it sufficiently safe to recommend. The other notices the exposed terrain on the opposite ridge and concludes that the route carries unacceptable risk.

They have not necessarily received different information. They may simply be **evaluating the same information differently.**

That distinction is central to my research.

BCG tells us that leaders need to create agency, but my research asks what causes an executive to **perceive agency** in the first place. BCG tells us that organizations need genuine agreement, but my research asks why equally informed executives can construct different judgments about what is legitimate, necessary or desirable. BCG tells us that take-up has to be earned, while my research asks what makes a particular course of action sufficiently legitimate, obligatory and possible for an executive to support it.

This is not simply a different way of describing the same thing. It represents a different level of inquiry.

BCG is primarily concerned with **creating the conditions for human change**. My research is concerned with the **evaluative mechanism through which executives make sense of those conditions and construct judgments about what they should do**.

That distinction becomes even more interesting when we consider McKinsey's work on why transformations stall.

McKinsey and the problem of collective action

McKinsey's research highlights behaviours such as protecting one's own territory, playing safe, relying on familiar relationships and waiting for others to move. These behaviours can be deeply problematic for the organization, but they can also make perfect sense to the individual exhibiting them.

Consider an executive who protects their business unit during an enterprise-wide transformation. From the perspective of the transformation office, that executive may appear territorial and resistant. From the executive's own position, however, protecting the unit may be experienced as responsible leadership. They may believe they have an obligation to protect their people, customers, capabilities or financial performance, particularly if they do not trust the broader transformation or believe its risks have been properly understood.

The observable behaviour is therefore only the end point of the process.

The more interesting question is what judgment sits underneath it.

This is why I believe there is a potentially important gap between the emerging practitioner literature and the theoretical contribution of Executive Worldviews. If we only identify the behaviours that accelerate or inhibit transformation, we can become very good at describing what happens without necessarily explaining why it happens.

The deeper question is: **what makes the behaviour reasonable from the actor's own evaluative position?**

Executive Worldviews: establishing the position before choosing the route

This is where the concept of **Executive Worldviews** enters the conversation.

The proposition is that executives encounter organizational change through deeper evaluative structures that shape how they interpret the situations in which they find themselves. The Worldview LOA framework approaches this through three dimensions: **Legitimacy, Obligation and Agency**.

Legitimacy concerns what an executive regards as appropriate, justified or right in the circumstances. Obligation concerns what they believe they owe to the organization, to other people, to the situation and to themselves. Agency concerns how they understand their own capacity to influence what happens next.

Together, these dimensions describe something like the executive's **position on the terrain**.

This is why the Land Rover metaphor becomes more than an illustration. Before the reconnaissance team can recommend a route, it needs to establish where it is. Before the commander can make sense of the information coming back, there has to be an understanding of the position from which that information was gathered.

The same applies to executive judgment.

Before asking, *"Where should we go?"*, we need to understand **"Where are we standing?"**

That is the logic behind the Executive Sextant and the broader Worldview LOA proposition. The purpose is not to tell an executive which decision to make. It is to make more visible the evaluative position from which the decision is being constructed.

This matters because organizations frequently attempt to change behaviour without understanding the judgment producing that behaviour. We tell people to collaborate more, take greater ownership, become more agile or embrace the transformation. Yet if an executive believes the proposed action is illegitimate, feels obligated to protect something else, or believes that they have insufficient agency to influence the outcome, exhortation alone is unlikely to produce sustainable change.

The issue may not be motivation.

It may be **position**.

Three perspectives on human change

Seen this way, BCG, McKinsey and Executive Worldviews can be understood as addressing different levels of the same broader problem.

BCG is increasingly focused on **the human experience of change**: how leaders can create agreement, agency, emotional understanding, meaningful narratives and momentum so that people can move with the transformation.

McKinsey is increasingly focused on **the organizational capacity for change**: how organizations can develop the ability to continuously adapt and how collective behaviours can either enable or constrain transformation.

Executive Worldviews are concerned with **the evaluative layer underneath those responses**: how executives interpret the terrain, construct judgments about what is legitimate and obligatory, perceive their own agency and ultimately activate behaviour.

The relationship might therefore be expressed as:

Organizational terrain → human experience → executive worldview → judgment → behaviour → transformation.

Importantly, this is not a simple linear chain. Behaviour subsequently changes the terrain, creating new experiences and new information that can challenge or reinforce existing judgments. Transformation therefore becomes a recursive process in which people and organizations continually reshape one another.

That is why transformation is so difficult to reduce to a roadmap.

The map changes as the organization moves.

The deeper question in human change

The significance of the emerging work from BCG and McKinsey is that the management world is increasingly recognizing something that organization theory has been exploring for much longer: organizations do not change simply because leaders decide that they should.

They change through the actions of people operating within particular social, structural and interpretive circumstances.

The next question is therefore not simply how we can make those people more willing to change. It is how we can better understand **the judgments through which they determine what the change means and what they should do about it.**

Why does one executive see a legitimate opportunity where another sees an unacceptable risk? Why does one experience an obligation to champion the transformation while another experiences an obligation to protect what already exists? Why does one believe they have room to act while another concludes that meaningful action is impossible?

These are questions about executive judgment, and they sit at the heart of my research.

BCG gives us the **fieldcraft for human change**. McKinsey gives us an increasingly sophisticated understanding of the **organizational capacity and collective dynamics of change**. Executive Worldviews ask what happens one level deeper: **how the people navigating the terrain determine what they are actually looking at, what they believe it means and what they believe they should do about it.**

The Land Rover therefore becomes more than a metaphor for movement. It represents the discipline of getting ahead of the main force, observing carefully, establishing one's position and making sense of what lies ahead before deciding how to proceed.

In transformation, as in reconnaissance, the quality of the decision depends partly on the quality of the position from which the terrain is being observed.

And perhaps that is the deeper lesson for change leadership: **before we ask people to move, we need to understand where they are standing.**

Same terrain. Different perspectives. Different judgments. Different actions.

Change begins with how we see. Judgment determines how we navigate. And what we choose to do determines whether transformation actually happens.